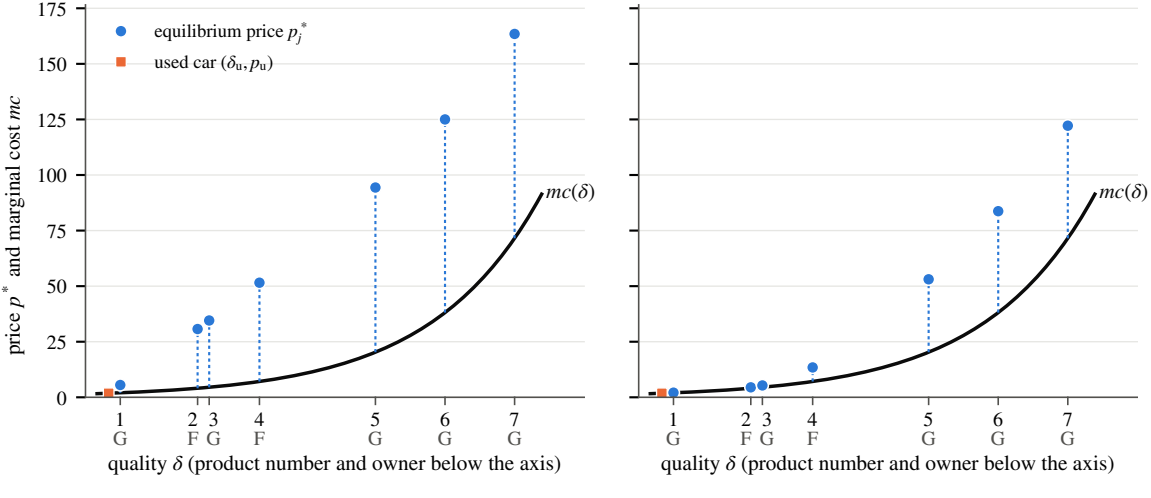
(a) Collusion: all products cooperate
(b) Bertrand-Nash: firms G and F compete
equilibrium price p_j^*
used car (δ_u, p_u)
price p^* and marginal cost mc
$mc(\delta)$
quality δ (product number and owner below the axis)
0
25
50
75
100
125
150
175
1 G
2 F
3 G
4 F
5 G
6 G
7 G